

ETFs

ETFs or exchange-traded funds, like myself, were introduced in the mid 1990s. They are similar to index funds, and ETFs can often invest in the exact same fund an index would.

In fact, more often than not, you can find an ETF that *tracks* an index fund. ETFs are like shadows to index funds.

For example, a Vanguard S&P 500 index fund also has a Vanguard S&P 500 ETF.

If the index fund goes up 10 per cent, so does the ETF.

If the index fund goes down 9 per cent, so does the ETF.

They invest in the same thing — so why do ETFs exist when index funds do the same job?

There are two important reasons:

1. lower barrier to entry
2. you can buy and sell throughout the day, not just when the market has closed.

Remember that idea of fractional shares, where can you buy a small per cent of one share for as little as \$1? That's the same with ETFs. ETFs bypass the minimum \$1000 usually needed to buy into index funds. You get to buy a fraction of the basket at a fraction of the cost. This is helpful when you have less money to invest with, and don't want to only be investing every time you save up \$1000. With ETFs you can invest in those baskets with \$10 or even \$1 if you wished to.

The other issue with index funds and mutual funds in general is that they give you one price every day, and you take it or leave it. With ETFs, however, their price varies throughout the day. This also means you can sell it or buy it throughout the day. It's not a huge bother, but it's one of the main differences between index funds and ETFs.

Since ETFs are fan favourites, there are quite a few types of ETFs out there. Let's go over some of the common ones: